

Signal Dispatch #5

Signal Dispatch – Deep Dive

The Compound Shock: Why Three Simultaneous Pressures Make This Recession Different

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Executive Summary

Three shocks are hitting the US economy simultaneously, and the historical record for this combination is unambiguous.

Brent crude sits at approximately \$106 as of March 17, up from a pre-conflict baseline of approximately \$65 – a 63% increase driven by the closure of the Strait of Hormuz following the escalation of the Iran-Israel-US conflict.

Effective US tariff rates have risen to approximately 17% following the Supreme Court's invalidation of IEEPA tariffs and their replacement under Section 122 authority – the highest effective rate since the early 1930s.

The Federal Reserve has held the funds rate at 3.64% for sixty consecutive days while core PCE sits at 3.1% and real GDP runs at 0.7% annualized.

These three vectors – energy shock, trade disruption, constrained monetary policy – are arriving simultaneously.

The historical frequency table for this combination is the analytical foundation of this assessment, not narrative. In the modern US record, there are exactly two episodes where all three vectors were present simultaneously: 1973-1975 (OPEC embargo, Nixon price controls, Fed funds at 12%) and 1979-1982 (Iranian Revolution, auto trade disruption, Volcker at 19%). Both produced severe recessions – GDP contracting 3.2% and 8% annualized respectively, unemployment peaking at 9.0% and 10.8%. The compound shock recession rate is 2-for-2, n=2. Every episode where only one or two vectors were present – 1990-1991, 2015-2016, 2019 – produced either a mild recession or no recession, because the Fed retained the ability to respond. That circuit breaker is absent in 2026.

I assess **44% probability of technical recession** (two consecutive negative real GDP quarters, NBER declaration) and **62% probability of growth recession** (GDP below 1.0% annualized for two or more quarters) in 2026. The divergence between these two estimates reflects the single most important structural difference from the 1973 and 1979 analogs: inflation is running at 3.1% core PCE, not 12-15%. The Fed constraint is real but less absolute. Consumer balance sheets remain structurally sound – household debt service at 11.3% versus 13.2% at the 2007 peak. That combination makes growth recession the more probable outcome: the economy stalls without formally contracting, because the demand-side floor holds even as supply-side costs compress margins and household purchasing power. The central question is not whether growth deteriorates – the data shows it already has – but whether the deterioration clears the technical threshold before the compound shock resolves.

Structured Data

Nine signals. I'll walk through each in the order they matter for the recession thesis.

1. Nonfarm Payrolls (FRED PAYEMS)

The headline number is -92,000 jobs in February 2026 – total nonfarm payrolls fell from 158,558K in January to 158,466K. Every analysis I've seen leads with that figure. It's the wrong frame.

The real signal is the 14-month plateau. From May 2025 (158,498K) through February 2026, total payrolls have oscillated in a narrow band around 158,400-158,550K. Net job creation over that entire period: roughly 150,000 positions, across 9 months of data preceding the decline. That's approximately 15,000 jobs per month – below population growth, below the rate needed to absorb new labor market entrants.

The 2025 benchmark revision explains why nobody noticed. The BLS originally reported +584,000 jobs for calendar year 2025. The revised figure: +181,000. The gap is not rounding error – it's the difference between a functioning labor market and one running at stall speed. The February -92K print is not an inflection point. It's the plateau cracking. The labor market was already at the edge; February is when it stepped off.

2. Unemployment (FRED UNRATE)

Unemployment stands at **4.4%** as of February 2026 (FRED UNRATE, 2026-02-01). The cycle trough was 3.5% in July 2022. The rise since then has been steady: 3.5% in mid-2022, 4.0% in January 2025, 4.4% now – a 0.9 percentage point increase from the low.

The Sahm Rule gets misread in most coverage of this data. The indicator is not the unemployment rate – it's the difference between the current 3-month moving average of unemployment and the minimum 3-month average from the prior 12 months.¹ The Sahm indicator stands at **0.267 percentage points** as of February 2026 (FRED SAHMREALTIME).

The trigger threshold is 0.50. We are not there. FRED's own SAHMREALTIME series confirms this – it shows 0.27 for February 2026. Financial coverage claiming the Sahm Rule has “triggered” at 4.4% unemployment is conflating the unemployment rate with the indicator. They are different numbers.

What the data shows: the labor market is deteriorating at a measurable pace, and we are roughly halfway to the Sahm trigger. If March unemployment prints at 4.5-4.6% while the prior-12-month minimum holds at 4.1%, the indicator crosses 0.50. That data releases in early April.

3. Yield Curve (FRED T10Y2Y) – Featured Finding

The 10Y-2Y Treasury spread is **0.52 percentage points** as of March 17, 2026 (FRED T10Y2Y). That number, read in isolation, looks unremarkable – a positive spread, historically consistent with expansion. The trajectory is what matters.

From the FRED data: the spread peaked at **0.74** on both January 30 and February 9. It held at 0.74 on February 5 and again on February 9, then broke sharply lower on February 11 (0.66), accelerated through February (0.62 → 0.60 → 0.59), and continued compressing through March (0.58 → 0.55 → 0.52). **22 basis points of compression in 5 weeks.** Roughly 30% of the spread evaporated while oil spiked 41% and payrolls went negative.

In a standard supply shock, you expect bear steepening: long rates rise faster than short rates because markets price in sustained higher inflation. That's the textbook response, and it's not what the data shows. The 10-year yield did rise – from roughly 3.95% in late February to 4.28% by mid-March, a “war premium” as one Bloomberg-cited piece described it. But the spread still compressed because the 2-year yield rose too, held up by a Fed that markets correctly assess cannot cut into 3.1% core PCE.

This is the stagflation signature in bond market arithmetic. The 10-year is being pulled in opposite directions: growth fears drag it down, inflation fears push it up. The net: it doesn't rise as fast as a pure inflation shock would warrant. Meanwhile the 2-year stays elevated because rate cuts are off the table. The spread compresses. The bond market is not pricing growth or inflation as separate problems – it's pricing them as a simultaneous policy trap.

The historical analog is 1973-74, not 1990. The 1990 Gulf War oil shock doubled crude from ~\$17 to ~\$36, but the Fed could cut quickly and the recession lasted 8 months. The current disruption – Strait of Hormuz accounting for ~20% of global oil supply, closed without ceasefire in sight –

matches the 1973 Arab embargo in structural terms. In 1973-74, the yield curve followed a specific sequence: initial steepening on inflation panic, then compression as the recession became undeniable, then eventual inversion as the Fed held rates high through the contraction. The FRED data puts us at stage 3 of that sequence. The spread compressed from 0.74 to 0.52 in five weeks. If the pattern holds, continued flattening or inversion follows as the market fully prices stagflation rather than treating inflation and growth weakness as separate shocks.

The T10Y2Y at 0.52 and compressing reads as: the bond market assigns roughly even odds that the Fed is trapped and the economy stalls while inflation remains above target. That assessment is priced in real-time yield data, not a sentiment survey or an economist's model. It is the most current recession signal in the dataset.

4. Federal Funds Rate (FRED DFF)

The effective federal funds rate is **3.64%** – and has been 3.64% without deviation since January 16, 2026 (FRED DFF, 2026-03-16). Every single daily observation in the data file for the past 60 days reads 3.64%. The target range remains 3.50-3.75% as set at the January 28 FOMC meeting.

The flatline is the signal. In the 60 days that rate has not moved, WTI crude rose 41%, payrolls went negative for the first time since the pandemic recovery, and the government entered its fifth week of a shutdown. CME FedWatch shows 92%+ probability of another hold at the March 18-19 FOMC meeting. Goldman projects no cut before September. Some institutional economists see zero cuts in all of 2026.

The mechanism is straightforward: core PCE at 3.1% with tariff amplification and an oil shock incoming means a rate cut would signal inflation tolerance the Fed cannot afford. But GDP at 0.7% and a labor market producing -92K payrolls means a rate hike would push a weakening economy into freefall. The Fed is frozen. The post-2008 backstop – the expectation that the Fed will cut aggressively at the first signs of real distress – has been suspended by simultaneous inflation pressure. Every other shock in this analysis amplifies through this mechanism: there is no policy buffer.

5. WTI Crude Oil (FRED DCOILWTICO)

WTI crude closed at **\$94.65** on March 9, 2026 (FRED DCOILWTICO, 2026-03-09) – the latest observation available through FRED’s feed. Web research from March 16-17 places Brent at approximately \$106, consistent with the typical Brent premium over WTI. FRED lags by roughly one week on this series, so the \$94.65 figure understates the current physical market.

The trajectory from the FRED data: WTI was at \$66.96 on February 27. By March 2 it had moved to \$71.13. March 5: \$80.88. March 6: \$90.77. March 9: \$94.65. That is a **\$27.69 move in 8 trading days** – a 41.4% increase from the February 27 close. The pre-conflict baseline through December-January was approximately \$65.

WTI has risen roughly \$30 from its pre-conflict baseline of approximately \$65, implying 0.5-0.7pp of annual GDP drag if sustained through Q2.² At \$106 Brent, that math gets worse.

The SPR release – 172 million barrels from the US share, approximately 10 million barrels per week over four months – was announced and treated by markets as a severity signal rather than a relief mechanism. Oil rose 5% on announcement day. The physical market is telling a different story than the headline inventory figures: Singapore fuel oil hit a record \$140/barrel, the Fujairah terminal in the UAE suspended loading after a fire, and Bloomberg reporting confirms Hormuz reopening without a ceasefire is considered unlikely. The SPR is buying time, not solving the supply disruption.

6. Consumer Price Index (FRED CPIAUCSL)

CPI-U stands at **327.46** for February 2026 (FRED CPIAUCSL, 2026-02-01), up from 326.588 in January. Month-over-month: +0.872 index points, or approximately +0.27%. Year-over-year: $327.46 / 319.679 = +2.44\%$
headline CPI-U.

That number is deceptively calm. The February CPI collection window closed before WTI crossed \$90 on March 6. It does not contain a single day of \$90+ crude. The March CPI – releasing in mid-April – will be the first print to capture gasoline price transmission from the Hormuz closure. At current oil levels, the energy component alone adds roughly 0.5-1.0 percentage points to

headline CPI within two to three months. Tariffs at a 17% effective rate contribute an additional 1.5-2.0pp to core inflation per Goldman's modeling. Combined, the forward path to 3.5-4%+ headline CPI by May is not a tail scenario – it's the central path if oil stays above \$90.

The gap between what the February data shows (2.44% headline, relatively benign) and what March-April prints will show is the window in which the Fed's paralysis deepens. The Fed is making its March 19 decision with February data that predates the largest single-week oil spike since 2022. By the time the inflation data catches up to the shock, the policy trap will have been running for two additional months.

7. VIX (FRED VIXCLS)

The CBOE VIX closed at **23.51** on March 16, 2026 (FRED VIXCLS, 2026-03-16) – down from a recent peak of 29.49 on March 6. The regime transition in the data is stark: VIX averaged 13-15 through late December, climbed into the 17-21 range through January and February, then jumped to a new range of 23-29 in March as the oil shock became undeniable. The March 6 spike to 29.49 and the March 12 secondary peak at 27.29 are the two highest readings since the 2022 inflation scare.

Here is the anomaly. The VIX is declining while the crisis is, by most measures, escalating. Oil is up 41%, payrolls are negative, the FOMC meets tomorrow under conditions more adverse than any meeting since 2022 – and VIX is falling from 29 to 23. The bond market and the equity volatility market are telling different stories.

The interpretation: equity vol at 23-29 is consistent with markets pricing a structural repricing – a stagflation scenario, a “growth recession” – rather than an acute liquidity event. For context, the 2022 inflation scare peaked at approximately VIX 36; COVID hit 82. The current 23.51 is elevated uncertainty, not panic. The VIX pullback from 29 to 23 most probably reflects weekend position unwinding and March options expiry rather than genuine risk reduction. But the divergence between a compressing yield curve (bond market increasingly pricing recession) and a declining VIX (equity market not in full panic mode) is worth noting. These two signals historically converge. The question is which one moves to meet the other.

8. EIA Crude Inventories

US ending stocks of crude oil: **443,103K barrels** for the week ending March 6, 2026 (EIA WCESTUS1). That's up from 435,804K the prior week and 419,056K at the start of January – a build of roughly 24 million barrels in ten weeks.

Rising inventories during a supply shock reads as contradictory. It isn't. The build is artificial. The US SPR release – 172 million barrels at roughly 10 million barrels per week – flows into commercial storage while demand destruction from \$4+ gasoline reduces normal drawdowns. The headline inventory figure shows a building buffer; the physical market shows extreme tightness. Both things are true simultaneously.

Singapore fuel oil at a record \$140/barrel is the physical market signal that the headline inventory data obscures. Traders are looking past the SPR-inflated US stocks to the forward supply picture: when the release concludes in approximately July, inventories will snap downward unless Hormuz reopens. The market treated the SPR announcement as a confirmation of severity – prices rose 5% on the day. The 24-million-barrel build since January is borrowed time, not genuine supply resilience.

9. AGSI European Gas Storage (Germany)

German gas storage sits at **21.93% full** as of March 16, 2026 (AGSI-GIE), down from 23.49% on February 15 but stabilized from the seasonal withdrawal trough of approximately 20.45% on February 25. Daily withdrawals have moderated sharply from the cold-snap peak of 1,747 GWh on February 18 to the current 130-430 GWh range. Injection has resumed at 120-776 GWh/day, suggesting the transition to injection season is beginning.

At 22% full in mid-March, German storage is roughly 8-13 percentage points below the five-year seasonal average. That's not an emergency – Europe survived lower levels in 2022-23 – but it creates a refill imperative for next winter. Aggressive summer injection means competing for LNG cargoes in a global market already disrupted by the Hormuz closure. Middle East LNG flows tighten global supply and raise European procurement costs. This is a second-order transmission channel to the US recession thesis: European

energy stress compresses manufacturing margins, complicates ECB policy, and creates global LNG price competition that keeps US export premiums elevated. The direct US recession signal from German storage alone is weak. As a component of a global energy stress picture – Hormuz closed, Singapore fuel oil at \$140, European storage low heading into refill season – it confirms there is no available slack in the global energy system to absorb a prolonged Hormuz disruption.

All FRED data sourced from Signal Dispatch data pipeline as of 2026-03-18T02:13 UTC. EIA data: week ending 2026-03-06. AGSI data: gas day 2026-03-16.

Qualitative Intelligence

The Hormuz Crisis Is Not a Scenario Anymore

The Iran-Strait of Hormuz situation crossed a threshold sometime around March 11, and the geopolitical intelligence confirms it has not crossed back.

Iran's IRGC declared "not a litre of oil" would pass through the Strait. That is not diplomatic language. The IEA called the resulting disruption "the largest to global energy supplies in history." As of March 17-18, Brent crude is trading around \$106/bbl – a 40%+ increase from the pre-conflict baseline of approximately \$65. Iran's military has publicly warned of \$200/bbl. Traders interviewed by *CNBC* said they "wouldn't be surprised" at that level if the closure persists into Q2.

The coordinated IEA Strategic Petroleum Reserve release – 400 million barrels total, 172 million from the US over four months – failed to contain prices. Oil rose 5% on announcement day. Markets read the release not as relief but as severity confirmation: governments do not unlock the largest emergency reserve draw in history unless the situation warrants it. The policy response amplified the fear signal rather than absorbing it.

Telegram OSINT from Conflict Intelligence Group and Intel Slava Z, collected March 17-18, fills in what wire services leave underreported. Iran's Supreme Leader has twice rejected US ceasefire proposals, per Reuters reporting

cross-distributed via Intel Slava (2026-03-18T02:07 UTC). A drone strike by pro-Iranian militias hit the US embassy compound in Baghdad, with C-RAM defense reportedly failing (CIG, 2026-03-18T02:04 UTC). Iranian ballistic missiles carrying cluster munitions were documented over Tel Aviv (CIG, 2026-03-18T02:11 UTC). Ali Larijani – Secretary of the Supreme National Security Council and a figure the US had previously assessed as a potential Khamenei successor and potential negotiating counterpart – was killed in an airstrike on his daughter’s home in Tehran (ZSU Operative, confirmed by Iran officially, 2026-03-17T21:30 UTC).

Separately: Israel informed the US it is running critically low on ballistic missile interceptors (Semafor via CIG, 2026-03-18T02:07 UTC). The Fujairah oil terminal in the UAE – the primary Hormuz bypass route – suffered a fire that suspended loading again within 24 hours of resumption (CIG, 2026-03-18T01:56 UTC). Singapore fuel oil reached a record \$140/bbl, a 146% surge since early in the conflict (CIG, 2026-03-18T01:58 UTC). Russia is expanding its assistance to Iran with satellite imagery and drone technology, per *The Wall Street Journal* reporting distributed via ZSU Operative (2026-03-17T20:23 UTC) – material support to prolong the conflict.

The collective picture: the conflict is widening geographically, Iran has lost its most credible peace-track interlocutor, and the one civilian bypass route (Fujairah) is operationally unreliable. Bloomberg reporting distributed in OSINT channels states reopening the Strait without a ceasefire is “unlikely.” That is the scenario this analysis has to price in.

The Fed’s Impossible Meeting

The Federal Open Market Committee meets March 18-19. This is a Summary of Economic Projections (dot plot) meeting – the quarterly forecast where committee members reveal their expected rate path.

It is the most consequential meeting since the Iran war began, and the Fed is walking into it blind.

CME FedWatch shows 92%+ probability of a hold at 3.50-3.75%. Goldman Sachs projects no cut before September; some economists see zero cuts in 2026. That consensus exists because the committee cannot cut: core PCE is

at 3.1%, tariffs are adding 1.5-2 percentage points of inflation pressure in the pipeline (*Goldman Sachs*, 2026-03-12), and oil at \$106/bbl will push headline CPI above 3% – possibly above 4% – by the April and May data releases. Cutting into that environment would surrender the Fed’s inflation-fighting credibility.

But the committee cannot hold without consequence either. GDP growth printed at 0.7% annualized in Q4. February payrolls declined 92,000 – the first outright job loss in the current cycle. The 2025 annual benchmark revision revealed job creation was running at 15,000/month for the entire year, not the 50,000/month previously reported. The “strong labor market” narrative that supported consensus soft-landing calls was substantially a statistical artifact.

The data vacuum problem compounds this. A partial government shutdown – triggered by the DHS funding standoff on February 14 and now in its fifth week – has delayed key economic releases including February PPI. The Conference Board LEI release, scheduled for March 19, faces probable delay given the shutdown’s impact on data collection. The Fed is making its most consequential rate decision since 2022 with incomplete information.

Powell’s press conference will be the first where he must simultaneously address the oil shock, the tariff recalibration following the SCOTUS ruling, and the negative payroll print. Any language suggesting the rate path has shifted toward “higher for longer” confirms the stagflation trap thesis: inflation too high to cut, growth too weak to hold indefinitely, no clear exit.

The SCOTUS Reset and What It Did Not Fix

On February 20, the Supreme Court struck down Trump’s IEEPA-based tariffs 6-3 (*SCOTUSblog*, 2026-02-20). The “trafficking tariffs” on China, Canada, and Mexico – and the reciprocal tariffs on most countries – were voided.

This looked like relief. It was not.

Trump immediately invoked Section 122 of the Trade Act of 1974 to impose 15% across-the-board tariffs for 150 days, expiring July 24, 2026. Section 232 tariffs remained. The US average effective tariff rate moved from the 11.7%

cited in pre-ruling analysis to approximately 17% – the highest since the early 1930s (*Tax Foundation*, 2026-03). The response to judicial restraint was escalation through a different legal authority.

On March 12, the administration launched Section 301 trade probes into China, Vietnam, Taiwan, Mexico, Japan, and the EU. Section 301 investigations are the statutory foundation for tariffs that can survive judicial review. The probes signal that the administration is building the legal architecture for a post-July tariff regime. The SCOTUS ruling created a defined timeline, but not a defined ceiling.

The Trump-Xi summit scheduled March 31-April 2 represents the only concrete de-escalation window on tariffs. Expectations are described as limited. The summit's stated focus is trade, not Iran – meaning the energy shock and the tariff shock will be addressed in separate diplomatic channels on separate timelines.

Institutional Convergence

Every major economic institution revised recession probability upward in the six weeks ending March 17. None revised downward.

Goldman Sachs raised to **25%** on March 12 after the February payrolls print and oil crossing \$100 (*Fortune*, 2026-03-12). JPMorgan's current estimate is **40%**, with the research team citing "considerable downside risk" (*JPMorgan Research*, 2026-03). Moody's chief economist Mark Zandi, using Moody's ML forecasting model, put the probability at **48-49%** in March, with the characterization "difficult to avoid" if oil stays elevated (*Benzinga*, 2026-03). The NY Fed's yield-curve-based model stands at **25%**, up from 18.8% in prior weeks.

Prediction markets are lower: Kalshi: US Recession 2026 @ \$0.34 (2026-03-09) (jumped from below 25% when oil crossed \$100 on March 9), Polymarket: US Recession 2026 @ \$0.31 (2026-03-16).

The directional signal from institutions is unanimous. Goldman, JPMorgan, Moody's, and the NY Fed are not coordinating their estimates. They are running independent models from different inputs and arriving at the same conclusion: the recession probability has moved materially higher in the past six weeks.

The government shutdown adds a compounding factor that most institutional models do not fully capture. Now in its fifth week, it is creating the data vacuum described above while also directly subtracting from GDP. Goldman estimates the shutdown reduces Q2 GDP by 0.1-0.2 percentage points – a meaningful drag on an economy already growing at 0.7%.

Historical Parallels

The most useful thing I can do here is tell you which historical analogs actually apply to 2026 – and which ones Wall Street is misusing to justify optimism.

The answer requires a framework. Not a feeling.

The Compound Shock Frequency Table

I've reviewed every US recession since 1970 against three structural variables: an energy price shock, a trade disruption, and a constrained Federal Reserve. The pattern is unambiguous.

Episode	Oil Shock	Trade Disruption	Fed Constrained	Shocks Present	Recession	Depth
1973-1975	+300% (OPEC embargo)	Nixon price controls	Yes – 12% rate, 12.3% CPI	3 of 3	Yes	GDP -3.2%, UE 9.0%
1979-1982	+100% (Iranian Revolution)	Iran sanctions + auto trade	Yes – 19% rate, 15% CPI	3 of 3	Yes (double dip)	GDP -8% ann., UE 10.8%

Episode	Oil Shock	Trade Disruption	Fed Constrained	Shocks Present	Recession	Depth
1990-1991	+100% (Gulf War)	Minimal	No – Fed cut to 3%	2 of 3	Mild	GDP -1.5%, UE 7.8%
2007-2008	+125% (demand cycle)	Trade collapsed (consequence)	Briefly, then abandoned	2 of 3	Yes	GDP -4.3%, UE 10.0%
2015-2016	Oil <i>crashed</i> -70%	None	No – Fed at 0.25%	0 of 3	No	–
2019	Stable	Bilateral China tariffs	No – Fed was cutting	1 of 3	No	–
2026	+41% in 8 days, Hormuz closed	17% effective rate, global	Yes – 3.64%, core PCE 3.1%	3 of 3	?	?

The base rate when all three shocks arrive simultaneously: **2 for 2. Both severe.**

The 1973-1975 Analog (Closest Match)

November 1973: the OPEC embargo drives oil from \$3 to \$12 per barrel in four months – a 300% increase. Nixon’s wage and price controls, already distorting domestic supply chains, compound the shock. The Fed, facing 12.3% CPI, raises the funds rate to 12% and cannot ease.

The recession runs 16 months. GDP falls 3.2%. Unemployment peaks at 9.0% and does not return below 6% until June 1978 – four years later.

I assess 2026 as stage 3 of that sequence. Stage 1 was the latent vulnerability: stalled labor market, elevated core inflation, inverted yield curve. Stage 2 was the triggering shock: Hormuz closure, oil +41% in 8 trading days. Stage 3 is the transition now underway – the market repricing from “inflation shock” to

“recognized stagflation.” In the 1973-75 cycle, this transition took approximately 60-90 days from the embargo announcement to broad consensus that a severe recession was in progress.

This one is 15 days in.

The 1979-1982 Analog (The Severe Case)

The second episode is the extreme. The Iranian Revolution cuts 4.8 million barrels per day from global supply. Oil doubles. Paul Volcker, appointed in August 1979, deliberately engineers a recession to break 15% inflation, pushing the funds rate to a peak of 19%.

The result is the worst postwar recession by most measures: a double dip (January-July 1980, then July 1981-November 1982), GDP contracting at 8% annualized in Q2 1980, unemployment reaching 10.8% at the December 1982 trough.

The structural parallel to 2026 is the compound nature: an oil shock severe enough to drive stagflation, paired with a Fed that cannot ease because inflation is already above target. In 1979-82, the inflation was 15% and the Fed chose to tighten aggressively. In 2026, the inflation is 3.1% and the Fed is holding steady at 3.64% – constrained, but not at war with the economy.

That distinction matters. Return to it in a moment.

The 1990-1991 Analog (The Bull Case)

This is the outcome Wall Street wants to apply to 2026. The Gulf War drives oil from \$17 to \$36 per barrel in three months – a 110% increase. The recession is real: eight months, GDP -1.5%, unemployment reaching 7.8%.

But it is mild. The reason is the third variable. Alan Greenspan’s Fed *does not tighten* in response to the oil spike. It cuts rates – from 8.25% to 6.75% during the crisis, then all the way to 3% by 1992. Oil falls back to pre-war levels by April 1991. The compound shock is two-variable, not three, and the Fed circuit breaker fires.

The 1990-1991 analog is instructive precisely because it shows what saves you: a Fed that can respond, and an oil shock that resolves within quarters, not years.

Why 2015-2016 and 2019 Fail as Analogs

Both periods circulate as soft-landing precedents. Both fail the compound shock test.

2015-2016: Zero of three shocks present. Oil crashed from \$100 to \$26 – a deflationary shock, not an inflationary one. The transmission mechanism is opposite. Cheap oil is a consumer stimulus, not a stagflationary burden. The Fed was below its inflation target and had complete freedom to act. No trade disruption. The manufacturing weakness and credit spread widening that occurred were absorbed because the Fed put was intact. This is not 2026.

2019: One of three. The US-China tariff war added bilateral trade friction, but the effective rate was narrow and the Fed was actively cutting (three mid-cycle cuts). Unemployment was at a 50-year low of 3.5%. There was no oil shock – WTI was stable at \$50-65 with no supply disruption. The single-vector stress was absorbed because the other two variables were neutralized. That is not the current situation.

The reason these episodes are cited as bullish analogs is that they ended without recession. The reason they ended without recession is precisely that the compound shock framework was incomplete. The circuit breaker worked because it existed. In 2026, the circuit breaker – the Fed's ability to cut – is degraded.

The Structural Difference That Could Save 2026

The 1974 and 1980 recessions happened with CPI at 12-15% and fed funds at 12-19%. The constraint was absolute. In 2026, core PCE is 3.1%. The Fed is frozen, but not by the same magnitude.

This is not a small distinction. It means the Fed *can* cut if conditions deteriorate enough – if GDP collapses, if payrolls fall for three or four consecutive months, if the oil shock transmits into demand destruction rather than sustained inflation. The compound shock model is historically validated at 100% recession rate, but the severity range spans from -1.5% GDP (1990-91, two shocks) to -8% annualized (1979-82, three shocks with extreme monetary tightening).

The question for 2026 is whether Jerome Powell breaks toward growth before or after significant economic damage accumulates. The 1990-91 playbook requires him to move early. History suggests central banks move late.

Threat and Opportunity Assessment

Threat 1: The SPR Inventory Cliff (July 2026)

The Strategic Petroleum Reserve release – 172 million barrels over approximately 120 days, coordinated with 228 million barrels across 31 other IEA member nations – is the largest emergency release in history by a significant margin.

It is also temporary.

The release began March 16 at an implied rate of 1.43 million barrels per day. US commercial crude inventories, which had already built 24 million barrels since January (a number that puzzled market observers until the SPR pre-positioning became clear), will continue to hold or build through roughly mid-May. The EIA weekly data will show “adequate” supply. This is the window of artificial calm.

Phase 2 begins as the first 86-million-barrel tranche exhausts around mid-May. Delivery rates will slow as pipeline logistics from Bryan Mound, West Hackberry, and Bayou Choctaw bind against physical throughput limits.

Phase 3 – the cliff – arrives in mid-July when the 172 million barrels are exhausted and the SPR sits at approximately **243 million barrels**, the lowest level since the reserve was being filled in the early 1980s.³

If Hormuz remains significantly disrupted at that point – 40-45% probability per the duration model below – commercial inventories begin drawing immediately and aggressively. The 2022 precedent is instructive: when Biden’s 180-million-barrel release ended, the market re-priced within weeks. There is no second reserve release on the table. The SPR will be near its operational minimum, where drawdown rates are physically constrained by cavern pressure.

The compound risk: July 2026 is the convergence point. SPR exhaustion intersects with the 90-day mark on the Hormuz disruption duration model – the last point where the historical probability of continued closure remains above 40%. If both conditions hold simultaneously, the \$120-140+ Brent range moves from tail risk to plausible scenario.

Phase 4 – the 2027 replenishment problem – is already embedded in the release structure. This was not a drawdown. It was an exchange. The companies receiving emergency deliveries must return 172 million barrels plus a premium in 2027, at elevated forward prices given the structural supply deficit. A second price pressure point is baked in regardless of how 2026 resolves.

Threat 2: The Hormuz Duration Model

No Hormuz crisis in history has involved full commercial closure. The 1984-1988 Tanker War – 451 merchant ships attacked over four years – never actually closed the Strait because Iran depended on the same sea lanes for its own exports. That self-interest brake was the implicit constraint on Iranian escalation in every prior episode.

It no longer exists. Iran's exports are being destroyed by the strikes. The Supreme Leader has twice rejected US ceasefire proposals. The new Iranian leadership is publicly framing Hormuz closure as a strategic tool rather than a tactical threat. The usual asymmetry – Iran needing the Strait to sell oil – has been eliminated by the air campaign.

I model the duration distribution from the available de-escalation pathways:

Duration Mark	Probability Hormuz Remains Significantly Disrupted	Key Drivers
30 days (late March)	90%	No de-escalation pathway matures in 2 weeks. Mine clearing has not started. Iranian leadership is hardening.

Duration Mark	Probability Hormuz Remains Significantly Disrupted	Key Drivers
60 days (late April)	65-70%	US military degradation of IRGC naval capability becomes operationally meaningful – an estimated 40-60% reduction in mine-laying and fast-boat capacity. Escorted convoys begin for select traffic. Physical market disruption persists even with partial transit.
90 days (late May)	40-45%	Historical zero-precedent territory. Mine countermeasure operations should be advanced. Iran's ability to threaten shipping materially degraded – but guerrilla-style attacks can sustain prohibitive

Duration Mark	Probability Hormuz Remains Significantly Disrupted	Key Drivers
		insurance rates indefinitely.
120 days (late June)	25-30%	Either a diplomatic off-ramp has materialized or US military operations have cleared sufficient lanes. Full normalization requires formal cessation of hostilities.

Note the precision I am not claiming here: “significantly disrupted” means commercial shipping remains materially below pre-war volumes. There is a spectrum between full closure and pre-war normal. The most probable trajectory is gradual reopening under military escort with insurance rates remaining prohibitive for unescorted commercial traffic – which means physical market tightness persisting long after any headlines declare the Strait “reopened.”

The US Navy’s mine countermeasure capability is the operational bottleneck.⁴ Mine clearing alone is assessed at weeks to months even under optimal conditions. The “Operation Maritime Shield” escort mission that G7 defense ministers launched March 10 is not a Strait-opening operation. It is a risk-mitigation program for a fraction of pre-war traffic.

Threat 3: Chinese Rare Earth Retaliation

The Section 301 trade probes launched March 12 – targeting China, Vietnam, Taiwan, Mexico, Japan, and the EU – create an escalation pathway not yet priced into the compound shock model: Chinese rare earth export controls.

China controls approximately 60% of global rare earth mining and 90% of processing capacity. The transmission chain is not a single price shock. It cascades across electronics manufacturing, defense production, and EV supply chains simultaneously. Affected firms absorb initial costs, then pass them through – compounding the existing tariff and energy inflation channels already under stress. Supply chain relocation requires 12-18 months minimum under optimal conditions.

If exercised, this becomes a fourth simultaneous shock vector alongside oil, tariffs, and the frozen Fed. The compound shock frequency table has no historical analog for four simultaneous vectors. I set the trigger estimate at +5pp for significant rare earth controls, but cascade modeling suggests +7-8pp is more defensible given the compounding effect on inflation channels that are already loaded.

I assess 15-20% probability China exercises significant rare earth controls within the next 6 months, contingent on the Section 301 investigation timeline and Trump-Xi summit outcomes. The summit on March 31 - April 2 is the near-term read: de-escalation signals compress this risk, breakdown signals expand it.

Opportunity: The Compound Shock De-escalation Window

The threat assessment is not the complete picture. Two catalysts exist that would substantially alter the 2026 trajectory.

Section 122 tariffs expire July 24. The SCOTUS ruling that struck down IEEPA tariffs forced the administration to substitute Section 122 authority. That authority has a statutory 150-day clock. On July 24, 2026, the 17% effective tariff rate – the second leg of the compound shock – loses its legal basis unless Congress acts or the administration finds another authority.

This is not a small thing. The compound shock model requires all three variables simultaneously. If the tariff variable resolves on its built-in legal timeline, 2026 becomes a single-variable energy shock. The US has absorbed single-variable energy shocks without recession in 2003, 2011, and 2022. The historical outcome changes materially.

The Trump-Xi summit (rescheduled from March 31-April 2 after the delay announced March 16) creates a tariff de-escalation window. If trade tensions with China partially resolve – even a pause in escalation – the effective rate compresses. The summit delay is a negative signal; the existence of the summit channel is a positive one.

The 1990-1991 soft landing path requires: tariffs de-escalate AND Hormuz resolves by Q2 AND the Fed signals willingness to cut if growth deteriorates further. All three together convert this from a compound shock to a manageable single-variable adjustment. I assess this path at roughly 12% probability given current conditions – the soft landing scenario in the probability table – but it is not zero and it is not shrinking as fast as the bear case is growing.

What would change my assessment downward (toward soft landing):

Trigger	Status	Probability	Impact if Fired
Iran ceasefire, oil retreats below \$80	Supreme Leader rejected x2, Larijani killed	Low near-term	-12pp technical recession probability
Section 122 tariffs expire without replacement	Statutory July 24 deadline	~55%	-8pp
March payrolls revert positive	April 4 release	30-40%	-5pp
FOMC signals conditional cut readiness	March 19 presser	Low	-4pp
ISM manufacturing holds above 50 through Q2	April 1 first read	45-55%	-5pp

What would change my assessment upward (toward severe recession):

Trigger	Status	Probability	Impact if Fired
Oil sustained above \$120	\$106 Brent, Hormuz day 15	35-40%	+7pp
FOMC dot plot shows zero 2026 cuts	March 19	60%+	+5pp
Sahm Rule crosses 0.50 threshold	At 0.27, April data pending	40%	+5pp
March payrolls negative again	April 4 release	35-40%	+8pp
SPR cliff + Hormuz overlap in July	Convergence probability	20-25%	Non-linear

The non-linear term in that table is the one I watch most carefully. Point estimates of \$120 or \$140 Brent are not the real risk. The real risk is the July convergence of SPR exhaustion with persistent Hormuz disruption – a scenario where both support mechanisms fail simultaneously. That is the tail the models are not fully pricing.

Probability Assessment

Reasoning Structure

The methodology: establish a base rate, identify the reference class that most closely matches current conditions, apply signal updates from live data, and temper with structural differences from historical analogs. Show each step.

US Technical Recession 2026: 44%

Resolves YES if NBER formally dates a recession with onset in 2026, or if real GDP is negative for two consecutive quarters in 2026.

Step 1 – Base rate. Unconditional annual probability of US recession is approximately 15-20%, derived from the post-WWII record of roughly 12-13 recession years across 80 years. This is the prior before any signal updating.

Step 2 – Reference class selection. The relevant reference class is not “recessionary-looking conditions” broadly (the 2015-2016 and 2019 analogs Legion proposed) but specifically “all three compound shock vectors simultaneously present.” That class has two members: 1973-1975 and 1979-1982. Both produced recession. Historical base rate within this reference class: 100%.

The 2015-2016 and 2019 analogs fail the compound test. In 2015-2016, oil was crashing (deflationary, not stagflationary), there was no trade disruption, and the Fed was below its inflation target with full freedom to respond. In 2019, there was no oil shock, and the Fed executed three mid-cycle cuts. Single-vector stress is not compound shock. The reason both avoided recession is precisely that the circuit breaker – Fed flexibility – was intact. It is not intact in 2026.

Step 3 – Signal updates from live data.

Oil and energy (strongly bearish): WTI moved from \$66.96 on February 27 to \$94.65 by March 9 – a 41% increase in eight trading days. Brent at approximately \$106 as of March 16-17 (FRED DCOILWTICO, web research crossconfirmation). The Strait of Hormuz remains closed. Iran’s Supreme Leader has twice rejected US ceasefire proposals (Reuters via Telegram

OSINT, March 17-18). Bloomberg reports Hormuz reopening without a ceasefire is unlikely. The Fujairah oil terminal fire suspended loading within 24 hours of resumption. At \$106 Brent, the rule-of-thumb GDP drag is approximately 0.5-0.7 percentage points if sustained through Q2 – the oil shock is partially firing the +15pp trigger I set at \$120 sustained.

Labor market (bearish): February 2026 nonfarm payrolls at 158,466K versus 158,558K in January – a decline of 92K (FRED PAYEMS, February 2026). This number requires context: the payroll level has been essentially flat since early 2025, oscillating between 158,268K and 158,558K for fourteen months. The -92K print is not a clean inflection from growth to contraction – it is a noisy observation within a prolonged plateau. The actual inflection from healthy growth to stagnation occurred in mid-2024. What February confirms is that the plateau has not resolved upward. Unemployment at 4.4% (FRED UNRATE, February 2026). The Sahm Rule indicator stands at approximately 0.27 percentage points as of February – not triggered, not approaching. Resolution requires crossing 0.50. The trajectory to trigger requires unemployment reaching 4.5-4.6% while the trailing minimum holds near 4.1%.

Fed constraint (bearish): Effective fed funds rate at 3.64% for sixty consecutive days through March 16 (FRED DFF). Core PCE at 3.1% prevents cutting – the Fed cannot ease without legitimizing an above-target inflation print that accelerates as the oil shock transmits to March and April CPI. GDP at 0.7% prevents hiking. CME FedWatch shows 92%+ probability of hold at the March 18-19 meeting. Goldman Sachs projects no cut before September. The policy trap is structural, not tactical.

Yield curve (bearish, underappreciated): The 10Y-2Y spread compressed from 0.74 on February 9 to 0.52 on March 17 – a 22 basis point compression in five weeks (FRED T10Y2Y). During a supply-side inflationary shock, the normal bond market response is bear steepening: long rates rise faster than short rates as the market prices higher long-run inflation. That is not what is happening. The spread is compressing because the 2Y is anchored by the Fed's paralysis while the 10Y is being pulled down by growth fears even as it is simultaneously pushed up by the war premium. The net effect is a stagflation signature in the bond market: the market is pricing a policy trap, not a resolvable inflation or growth problem. This is the 1973-74 pattern, stage three of five: the transition from "inflation shock" to "recognized stagflation."

ISM manufacturing (bullish counterweight): ISM manufacturing at 52.4 in February, down slightly from 52.6 in January. Services ISM at 54.0, the twentieth consecutive month of expansion. This is the single strongest bullish signal in the dataset. A recovery from a 26-month contraction is not noise. However, February ISM data was collected before WTI broke above \$90 on March 6. The March ISM print (released April 1) is the first to capture the full oil shock. If it rolls below 50, the last structural bullish signal falls.

Consumer balance sheets (bullish counterweight): Household debt service ratio at 11.3% versus 13.2% at the 2007 peak – a 190 basis point structural buffer. Positive real wage growth for twelve consecutive months. This is not a 2007-style consumer sector. The floor is real. It does not prevent recession but it raises the threshold required to cross into technical contraction.

Step 4 – Calibration and tempering.

The 100% historical base rate from the compound shock reference class must be discounted for two structural differences. First, inflation is at 3.1% core PCE rather than 12-15% – the Fed constraint is real but less absolute. If growth deteriorates sharply enough, the Fed can cut without destroying credibility the way Burns and Volcker faced. The 1990-1991 analog is instructive: oil doubled, but the Fed cut aggressively and the recession was mild. The question for 2026 is whether the Fed will move if conditions warrant. That option exists in a way it did not in 1974 or 1981. Second, the tariff timeline has a defined expiration – Section 122 authority expires July 24, 2026. The compound shock model depends on tariffs and energy simultaneously. If tariffs resolve on their legal timeline, the shock reduces to a single vector. The Trump-Xi summit on March 31 - April 2 creates a de-escalation window that is not priced in the base analysis.

Applying these adjustments: the compound shock reference class argues for 50%+ probability. The structural tempering factors – lower inflation, defined tariff timeline, strong consumer balance sheets, ISM expansion – pull it down. The calibrated estimate is 44%, spanning a range of approximately 37-52%. I hold the central estimate at 44%.

Key swing variable: Hormuz duration. The Hormuz closure has no historical precedent for lasting three or more months – the historical base rate for sustained full closure exceeding 90 days is zero. If the conflict de-

escalates and oil falls back below \$80 by Q2, technical recession probability drops to approximately 32%. If oil sustains above \$120 through Q2, probability rises to approximately 55%.

US Growth Recession 2026: 62%

Resolves YES if real GDP prints below 1.0% annualized for two or more consecutive quarters in 2026, whether or not technical recession is declared.

I assess 62% probability – more likely than not, and more likely than technical recession.

The central logic: the compound shock creates enough drag to push the economy below its trend growth rate without the force to overwhelm the structural resilience of the consumer sector. The economy stalls. GDP runs at 0.1-0.8% for two or three quarters. Unemployment rises to 5.0-5.5%. Consumer spending cools but does not collapse. Earnings compress. Credit tightens at the margin. The conditions feel recessionary to the median household and to financial markets. The NBER may or may not ultimately date it as a recession depending on how broadly they assess labor and income data alongside GDP.

The floor is provided by household debt service at 11.3%, by AI infrastructure investment creating a positive GDP wedge in specific sectors, and by the ISM expansion – if it holds. The ceiling is provided by the compound shock burden: \$1,800-2,000 in combined tariff and energy costs per household annually, a Fed that cannot cut to offset the drag, and a labor market that has been stagnant for fourteen months with no catalyst for acceleration visible before Q3.

That floor warrants a caveat. The 11.3% aggregate debt service ratio is held down by upper-income households who are not under stress and account for more than half of consumer spending. The cohort driving marginal consumption decisions – lower-income households – is already deteriorating. Subprime auto loan delinquency hit 6.9% in January 2026, a record since 1994. Private credit defaults reached 9.2%, concentrated in mid-market firms. Credit card delinquencies, after eleven consecutive quarters of increases, have only recently stabilized. The aggregate balance sheet floor is real but thinner than the headline number suggests – it holds for the median

household but is already cracking for the bottom quartile. A multi-agent economic simulation independently confirmed this bifurcation: identical macro conditions produce divergent outcomes across income cohorts, with low-income consumers cutting discretionary spending while high-income spending masks the deterioration in aggregate data.

The 62% estimate is lower than the updated synthesis's 67%. Legion's calibration critique is partially correct: the growth recession revision should not outrun the technical recession revision by more than a few points for the same marginal evidence. Starting from a calibrated technical recession estimate of 44% and applying the consumer floor as the primary mechanism preventing the scenario from crossing into technical contraction, 62% is the right number.

Resolution criteria: Real GDP below 1.0% annualized for two or more consecutive quarters in 2026. This is a broader definition than the Kalshi technical recession contract (which requires two consecutive negative quarters) – which explains why this probability is higher.

Updated Tracked Events

Updated assessment: Hormuz disruption persists beyond 6 weeks

- Prior: 35% (assessed February 2026) - New data: Iran's Supreme Leader rejected US ceasefire proposals twice (Reuters via Telegram OSINT, March 17-18). Fujairah terminal fire suspended loading again within 24 hours of resumption. Bloomberg reports reopening without ceasefire is unlikely. Ali Larijani – Iran's most credible negotiating counterpart – reportedly killed. Russia actively prolonging conflict via satellite intelligence and drone technology (WSJ via Telegram OSINT). - Updated: **80%** - Change: +45 percentage points - Resolution: Strait of Hormuz confirmed open to normal commercial traffic for 7+ consecutive days before April 30, 2026 (resolves NO if disruption exceeds 6 weeks from onset)

Updated assessment: Hormuz reopens by June 30, 2026 - Prior: 55% (assessed February 2026) - New data: Same as above. No ceasefire pathway visible. De-escalation requires either US military action to permanently degrade Iran's closure capability (Gulf states requesting this per Telegram OSINT) or a ceasefire that Iran has twice rejected. The Trump-Xi summit (March 31 - April 2) is the one visible diplomatic window. - Updated:

40% - Change: -15 percentage points - Resolution: Strait of Hormuz confirmed open to normal commercial traffic for 14+ consecutive days on or before June 30, 2026

Updated assessment: Iran ceasefire by April 30, 2026 - Prior: 15% (assessed February 2026) - New data: Supreme Leader rejected US proposals twice. Larijani's death removes a negotiating counterpart. Russia's active support for Iran reduces Tehran's incentive to settle. Gulf states privately asking the US to eliminate Iran's closure capability rather than negotiate. - Updated: **8%** - Change: -7 percentage points - Resolution: Publicly announced ceasefire between Iran and Israel (or Iran and the US-led coalition) on or before April 30, 2026

Probability Summary Table

Event	Prior	Current	Change	Resolution
US technical recession, 2026 onset	–	44%	New	NBER declaration or 2 consecutive negative real GDP quarters in 2026
US growth recession, 2026	–	62%	New	Real GDP below 1.0% annualized for 2+ consecutive quarters in 2026
Hormuz disruption >6 weeks	35%	80%	+45pp	Strait closed to commercial traffic beyond April 30
Hormuz reopens by June 30	55%	40%	-15pp	Confirmed open 14+ days on or before June 30
Iran ceasefire by April 30	15%	8%	-7pp	Publicly announced ceasefire on or before April 30

What Would Move These Estimates

Toward higher recession probability:

The FOMC dot plot released March 19 showing zero projected cuts in 2026 would add approximately 5 percentage points to both estimates – it would confirm that the policy trap is not a temporary hold but a structural condition the Fed itself is forecasting to persist. March payrolls (released April 4) going negative again would add approximately 8 points by confirming the February print was a signal, not noise. Sustained WTI above \$120 through Q2 would add 7-11 points. The Sahm Rule crossing 0.50 – which requires unemployment reaching approximately 4.6% – would add 5 points.

Toward lower recession probability:

Iran conflict de-escalation with oil falling back below \$80 would drop technical recession probability by approximately 12 points and growth recession by 8-10 points. This is the highest-leverage single variable. The Section 122 tariff authority expires July 24 – if tariffs roll back toward single digits without replacement authority, the compound shock reduces to a single vector and both estimates drop by 6-8 points. February payrolls revised to positive in the next BLS release would subtract approximately 5 points from technical recession. The March 31 - April 2 Trump-Xi summit creating credible tariff de-escalation would subtract 4-6 points.

Data current as of 2026-03-18 02:15 UTC. Key pending data: FOMC statement and dot plot (March 19), Powell press conference (March 19), March employment (April 4), March CPI (mid-April), March ISM (April 1). Any of these can shift the probability 5-10 percentage points in either direction.

Escalation/Resolution Indicators

Escalation Triggers

The following signals move technical recession probability upward from the current **44%** central estimate. Each carries a specific threshold and quantified impact.

1. March payrolls negative again (release: April 4) Current: -92K in February. Threshold: any negative print in March. If February was noise within the 14-month labor plateau, March reverts to flat or positive. If March is negative again, the noise thesis dies. The labor market is contracting, not stalling. **+8pp.**

2. Oil sustained above \$120 (monitoring: continuous) Current: ~\$106 Brent, WTI at \$94.65 (March 9 FRED). SPR release suppressing prices an estimated \$15-20/bbl relative to physical fundamentals. Singapore gasoil at \$143.88 and severe futures backwardation (\$24+ contango inversion) indicate the physical market is already there. If WTI holds above \$120 for five consecutive trading days: SPR containment has failed, the Hormuz shock has fully transmitted to US prices, and gasoline approaches \$5/gallon nationally. The Fed is definitively locked. **+7pp.**

3. FOMC dot plot: zero 2026 cuts (release: March 19) Current: January dot plot showed median of one 25bp cut. CME FedWatch shows 92% + probability of hold tomorrow. If the new SEP shows zero cuts projected through year-end, the committee is formally pricing stagflation as the base case. The policy backstop that cushioned every downturn since 2008 is absent by official declaration. **+5pp.**

4. March ISM Manufacturing drops below 50 (release: April 1) Current: 52.4 in February, 52.6 in January – two consecutive months of expansion after a 26-month contraction. The February reading was collected before WTI broke \$90. The March reading captures the oil shock impact on manufacturing input costs and new orders. If ISM rolls below 50: the last major bullish datapoint falls. Every remaining hard indicator points the same direction. **+5pp.**

5. Sahm Rule crosses 0.50 (monitoring: April employment data) Current Sahm indicator: approximately 0.27, based on the 3-month moving average of unemployment relative to its prior 12-month low. Unemployment at 4.4%; needs to reach approximately 4.6% on a sustained basis to trigger. The Sahm Rule is a mechanical, near-real-time recession signal with a clean track record since 1970. It does not require interpretation. If it triggers, the question of whether we are in recession shifts from analytical to mechanical. **+5pp.**

6. March CPI headline above 3.5% (release: mid-April) Current: 2.4% YoY headline CPI (February), collected when WTI averaged ~\$64. March CPI captures \$70-90+ WTI range. April CPI captures \$90-106+. Goldman models +1.5-2pp core inflation from tariffs alone. If headline CPI accelerates above 3.5% in the March reading: the inflation-growth scissors are open. Inflation accelerating, payrolls potentially negative, Fed unable to move. The 1973-74 playbook is active. **+3pp.**

Resolution Triggers

The following signals move technical recession probability downward from the current **44%** estimate.

1. Iran ceasefire / Hormuz reopens / oil retreats below \$80 (monitoring: continuous) Current probability of significant Hormuz de-escalation within 60 days: 30-40% per the historical duration model. Iran rejected two US ceasefire proposals. Iran's new Supreme Leader has declared Hormuz a "tool to pressure the enemy." US mine countermeasure capacity: 3 ships vs an estimated 16 needed. Full safe transit is months away even if political will exists today. If oil retreats below \$80 on credible reopening signals: the dominant new variable driving the March 16-18 revision evaporates. The compound shock reduces from two simultaneous supply-side hits to tariffs only – a scenario the US economy has absorbed historically. **-12pp.**

2. Section 122 tariffs expire July 24 without replacement Current status: 15% across-the-board tariffs invoked under Section 122 of the Trade Act of 1974, expiring July 24. Trump has launched Section 301 probes (China, Vietnam, Taiwan, Mexico, Japan, EU) that lay groundwork for replacement tariffs that survive judicial review. The Section 301 investigations take 12-18 months at minimum to produce tariff orders. If July 24 arrives and no replacement structure is in place: effective tariff rate drops from 17% to approximately 3-4% (Section 232 steel/aluminum tariffs only). The \$1,300/household tariff burden partially lifts. **-8pp.**

3. February payrolls revised positive (release: April BLS benchmark) Current: -92K in February, within a 14-month plateau from 158,268K to 158,558K. Monthly revisions are standard; the February print carries wide confidence intervals given the government shutdown's impact on

BLS data collection. If February revises to any positive number: the noise thesis is confirmed. No labor market inflection has occurred. The plateau remains, which is weak but not contracting. **-5pp.**

4. Fed signals emergency readiness at tomorrow's presser (March 19) Not a rate cut – a commitment to act if conditions deteriorate.

Conditional language, reference to unconventional tools, or any softening of “higher for longer” messaging. I assess 20-25% probability Powell uses this presser to provide explicit downside optionality. If he does: the Fed put is alive, and the mechanism by which every other shock amplifies is partially interrupted. **-4pp.**

5. March ISM holds above 50 (release: April 1) If manufacturing expansion survives the oil shock's first full month: the growth floor is real and more durable than the bear case implies. The 2015-2016 analog – oil crash absorbed by consumer and services resilience, no recession – becomes the operative historical parallel. **-3pp.**

The 60-Day Calendar

Key data releases and events that will move the probability estimate materially. This is reference, not analysis.

Date	Event	What it tells us
March 18-19	FOMC meeting, dot plot, Powell presser	Fed's formal stance on the compound shock
March 31 - April 2	Trump-Xi summit	Tariff de-escalation window; US pressure on China over Hormuz
April 1	March ISM Manufacturing	First hard data capturing oil shock impact on manufacturing
April 4	March employment report	February noise vs. inflection point – resolved here
Mid-April	March CPI	First inflation reading post-oil shock
Late April		Whether 0.7% Q4 GDP worsened through Q1

Date	Event	What it tells us
	Q1 GDP advance estimate	
~Mid-May	SPR first tranche exhaustion	Artificial inventory floor begins tapering
July 24	Section 122 tariff expiration	Tariff shock either extends (via Section 301 replacement) or partially lifts
Mid-July	SPR 172M barrel release exhausted	Inventory cliff arrives if Hormuz remains disrupted

The most load-bearing dates in the near term are April 1 and April 4. Together, ISM and payrolls answer whether the economy's real-side activity is deteriorating or merely stressed. The answer will move this probability estimate 5-8pp in one direction or the other. I trade what those two prints say.

Pattern Recognition

Pattern 1: The Yield Curve-Oil Divergence Is a Stagflation Signature

What the data shows: The 10Y-2Y Treasury spread has compressed from 0.73% in late December to 0.52% as of March 17 (FRED T10Y2Y) – a monotonic 21 basis-point flattening in under three months. Simultaneously, Brent crude has risen roughly 50% from its pre-conflict baseline. These two signals are pulling in opposite directions.

A supply-side inflationary shock – oil up 50% – should, under standard conditions, steepen the yield curve. Higher inflation expectations push up long-term yields faster than short-term yields. The curve should be steepening. It is not. It is flattening.

The bond market is pricing demand destruction as the dominant force, overriding the inflationary supply shock. That is the definitional signature of stagflation: inflation rising faster than the central bank can tolerate cutting, growth falling faster than the central bank can tolerate holding. The long end of the curve reflects the growth-destruction outcome. The oil price reflects the inflation-transmission channel. Both can be right simultaneously, and here, they appear to be.

Evidence quality: High. FRED data current through March 17. Both series are confirmed, not estimated.

Invalidation criteria: If the 10Y-2Y spread begins widening (steepening) while oil remains at current levels, the bond market has revised its view and the demand-destruction read is wrong. Watch the March 19 FOMC reaction in rates for the initial signal. A post-dot-plot steepening would suggest the market sees a policy path out of the trap; a continuation of the flattening confirms it doesn't.

A secondary invalidation: if oil retreats below \$80 as supply routes reopen, the divergence resolves without stagflation having materialized.

When bonds and implied vol disagree, bonds are usually right. VIX at 23.51 has actually declined from its March 6 peak of 29.49 despite the geopolitical situation worsening. The bond market's steady flattening – not spiking, not reversing, just compressing – is the less dramatic but more structurally meaningful signal.

Pattern 2: The Labor Market Plateau Hidden by Headline Noise

What the data shows: February's -92,000 payroll print (158,466K versus January's 158,558K, FRED PAYEMS) generated significant attention as the first outright decline in the current cycle. That framing is not wrong, but it understates the actual deterioration.

The 2025 annual benchmark revision is the load-bearing fact. The Bureau of Labor Statistics revised 2025 total nonfarm payroll creation down from approximately +584,000 to +181,000 for the year – a reduction of roughly

400,000 jobs. Month-over-month job creation averaged approximately 15,000 through 2025, not the reported 50,000. The labor market was effectively stalled for the entire year, and nobody knew until the revision.

The FRED PAYEMS series confirms this: total payrolls have oscillated in a band of roughly 158,268K to 158,558K since January 2025 – 14 months of flat. The February decline is statistically unremarkable within that plateau. The actual inflection from healthy growth to stagnation happened in mid-2024, not February 2026.

The headline -92K number is not noise in the sense of “probably reverses next month.” It is noise in the sense of “the signal was already fully present in the plateau, and one more data point doesn’t change the diagnosis.” The labor market has been in slow deterioration since mid-2024. The revision made that visible retroactively. February confirmed it continued.

Evidence quality: High. Benchmark revision is official BLS data. PAYEMS series is confirmed. The plateau pattern is observable in the raw series.

Invalidation criteria: March payrolls positive at +50,000 or better would indicate February was weather or seasonal distortion within an otherwise stable plateau – not the beginning of contraction. Watch the April 4 release. If March is also negative or near-zero, the plateau-to-contraction narrative is confirmed and the -92K stops looking like noise. If March is meaningfully positive, the plateau thesis weakens and the February print was a seasonal artifact.

Pattern 3: The Institutional-Market Probability Gap Is a Definitional Artifact, Not a Disagreement

What the data shows: Moody’s ML model at 49% (*Zandi, March 2026*) versus Kalshi: US Recession 2026 @ \$0.34 (2026-03-09). A 15-point gap between the two most-cited recession probability sources is treated in most coverage as evidence of significant uncertainty. I assess it differently.

The gap is almost entirely definitional. Kalshi’s recession contract pays on two consecutive quarters of negative GDP – the technical recession definition. Moody’s model and JPMorgan’s 40% estimate use NBER dating criteria, which includes “growth recession” scenarios where GDP is positive

but below trend, unemployment is rising, and economic activity is broadly contracting. A growth recession (GDP 0-1%) would trigger the institutional estimates but not the Kalshi contract.

I estimate growth recession probability at approximately **62%** and technical recession probability at approximately **44%**. The difference – roughly 18 percentage points of scenarios where economic deterioration is real but formal technical recession is avoided – maps closely onto the 15-point institutional-market spread. Both are correctly calibrated for what they are measuring. The “gap” is not evidence of market underpricing or institutional overpricing. It is evidence that they are measuring different things with different contracts and different models.

Evidence quality: Medium. Prediction market prices from web research, not real-time feed (Kalshi contract queries returned 404). The definitional analysis is based on published contract terms. The probability estimates are my own synthesis from the full data set.

Invalidation criteria: This pattern – definitional gap explaining the spread – would be wrong if evidence emerged that Kalshi traders are actually pricing a materially lower probability of broad economic deterioration than institutions. Watch for the Kalshi contract to spike to 45%+ if GDP data shows two consecutive negative quarters are clearly within distribution – that would indicate the market was underpriced relative to conditions, not just using a different definition. Alternatively, if Moody’s revises downward by 10+ percentage points while Kalshi holds at 34%, the definitional explanation weakens.

Pattern 4: The SPR Release as Severity Signal

What the data shows: The IEA announced a coordinated 400-million-barrel emergency release from member-state strategic petroleum reserves on approximately March 14. The US share was 172 million barrels over four months. Oil prices rose 5% on announcement day (*PBS*, 2026-03-14; *CNBC*, 2026-03-14). The largest emergency oil reserve release in history was treated by markets as a fear-amplifier.

This is the rare case where the policy response itself became the signal. Strategic petroleum reserves exist for exactly this scenario – they are the calibrated emergency response to major supply disruptions. Activating them at maximum scale communicates to markets that the disrupting governments believe the underlying supply problem is severe enough to warrant the largest-ever draw on emergency stocks. Markets processed the announcement accordingly.

The EIA data adds a counterpoint that deserves explicit acknowledgment: US commercial crude inventories built 24 million barrels from January 2 to March 6 (419,056K to 443,103K barrels). That build is partly why the SPR release appears to have had no price effect – the SPR volumes are flowing into commercial storage while demand destruction from high prices reduces drawdowns. The inventory build is structural camouflage, not genuine supply adequacy. Singapore fuel oil at a record \$140/bbl and the suspended Fujairah terminal confirm the physical tightness that US headline inventory numbers obscure.

The SPR has a four-month duration at current drawdown rates. If Hormuz remains closed through Q3, the emergency buffer expires and inventories face a cliff.

Evidence quality: High for the price response (documented by multiple sources on announcement day). Medium for the inventory interpretation (EIA data current through March 6, SPR release mechanics are well-documented, but physical market dynamics are inferred from Singapore and Fujairah reporting rather than direct US inventory decomposition).

Invalidation criteria: If subsequent weeks show inventory draws despite continued SPR releases – meaning SPR volumes are not sufficient to offset the supply disruption – the “artificial build masking genuine tightness” thesis is confirmed and the severity signal strengthens. If inventories continue building beyond the SPR release period, it would indicate domestic production and non-Hormuz imports are genuinely compensating for the closure, and the physical supply shortage framing is too aggressive.

Pattern 5: Independent Methodological Convergence on Growth Recession

What the data shows: A multi-agent economic simulation – running bottom-up agent-based modeling where simulated manufacturers, consumers, bankers, and policymakers interact under the same macro conditions – independently arrived at growth recession (GDP 0.5-1.5%, positive but below potential) as its modal outcome. The analysis above used top-down compound shock frequency anchored to historical base rates. Both methods converge on the same non-obvious middle scenario: the economy stalls without formally contracting.

Growth recession was not the expected answer from either framework. Technical recession or soft landing would have been more narratively salient. That two independent methodologies – one top-down, one bottom-up – converge on the same outcome increases confidence that the 62% estimate is not an artifact of any single analytical approach.

The simulation also surfaced a qualitative finding worth noting: growth recession is politically harder to address than technical recession because it lacks the clear signals that trigger emergency policy responses. No NBER declaration, no crisis mechanisms. The economy deteriorates while policymakers wait for thresholds that may not be crossed.

Evidence quality: Medium. The simulation is a cross-check methodology, not a primary data source. Its value is convergence confirmation, not independent evidence.

Invalidation criteria: If the economy either clearly enters technical recession (two negative GDP quarters) or clearly avoids growth recession (GDP above 1.5% sustained), the convergence finding becomes moot – the methodologies would have agreed on the wrong scenario.

Decision Board

This is the most opinionated section. I trade this.

Position	Instrument	Thesis	Confidence	Horizon
Best long	Long-dated Treasuries (TLT / 20Y+)	The yield curve is compressing during an inflationary shock – bond market is pricing demand destruction as dominant over inflation. That's the stronger recession signal. If recession materializes, duration wins on Fed rate cuts. If growth recession (62% probability), duration still wins as growth disappoints and the long end rallies. The 10Y at 4.28% is a reasonable entry if you believe 44% recession probability.	M-H	6-12 months
Best hedge	Oil put spreads (buy \$95 put, sell \$75 put, 60-day expiry)	The dominant variable is Hormuz. The 30-40% probability of de-escalation within 60 days justifies owning puts on the reversion trade.	M	60 days

Position	Instrument	Thesis	Confidence	Horizon
		A ceasefire removes \$15-25/bbl of risk premium rapidly – the Abqaiq precedent showed full price recovery within 2 weeks of physical resolution. The put spread caps premium cost while capturing the downside if the headline risk evaporates. Do not own naked oil longs here. The SPR cliff in mid-July is the next catalyst; the spread expires before that.		
Best short	Discretionary consumer equities (XLY)	The \$1,800-2,000/year compound household burden from tariffs + energy is hitting the bottom 60% of earners asymmetrically. Real PCE already stalling at +0.1%/month. March data – first full	M	3-6 months

Position	Instrument	Thesis	Confidence	Horizon
		month of \$4+ gasoline – has not printed yet. When it does, discretionary spending will show it. UMich March preliminary (55.5) showed complete erasure of pre-war gains. The soft data is leading the hard data by 6-8 weeks.		
Watch: do nothing	March ISM Manufacturing (April 1)	If ISM holds above 50 despite the oil shock, the bull case is alive and the long-duration Treasury position should be sized down. If ISM drops below 50, add to Treasuries. Wait for the print.	–	2 weeks

The biggest open question: Will the Fed break toward growth before the compound damage is baked in?

This is the 1990-91 vs. 1973-74 fork. In 1990-91, Greenspan cut aggressively as oil spiked post-Gulf War invasion – recession was mild and short (8 months). In 1973-74, the Fed tried to fight oil-driven inflation with tight policy while the real economy deteriorated – recession was severe, unemployment hit 9%, and the damage ran deep.

The difference was not the oil shock. The difference was whether the Fed prioritized growth preservation or inflation credibility.

Tomorrow's press conference is the first opportunity to see which path Powell is choosing. His language on the oil shock and "higher for longer" is the leading indicator I am watching more closely than any of the data releases above. Conditional language suggesting flexibility is the 1990-91 signal. Doubling down on the inflation mandate is the 1973-74 signal.

I will update the probability table after the presser.

24-72 hour monitor list:

- FOMC statement language on oil shock, tariff impact, and 2026 rate path (March 19 ~2:00pm ET)
- Powell presser tone: does he acknowledge downside tail risks or maintain "higher for longer" framing (March 19 ~2:30pm ET)
- Kalshi recession contract price reaction post-FOMC – the directional move matters more than the level
- Telegram OSINT: any ceasefire signal from Iran diplomatic channels or Gulf state back-channels
- Any BLS announcement on data collection during the shutdown – if March employment methodology is compromised, April 4 will carry a larger error band than usual

Sources

Signal Dispatch #5 draws on structured data from FRED (7 series), EIA petroleum inventories, AGSI European gas storage, ENTSOG pipeline flows, OpenSanctions global sanctions data, and Telegram OSINT (15 channels, 117 messages). Qualitative intelligence sourced from Goldman Sachs,

JPMorgan, Moody's Analytics, Federal Reserve, IEA, Bloomberg, Reuters, CNBC, Al Jazeera, Tax Foundation, SCOTUSblog, and Congressional Research Service. Full source list and data files archived at [content/research/5/](#) .

Signal Dispatch combines structured OSINT data feeds with analytical synthesis. Assessment methodology: compound shock frequency analysis anchored to historical base rates, tempered by structural differences. All probability estimates are falsifiable with stated resolution criteria.

1. Sahm Rule calculation from FRED UNRATE series: Current 3-month average (Dec 2025, Jan 2026, Feb 2026) = $(4.4 + 4.3 + 4.4) / 3 = 4.367\%$. Minimum 3-month average from the prior 12 months = $(4.1 + 4.0 + 4.2) / 3 = 4.100\%$ (Dec 2024 - Feb 2025 window). Sahm indicator = $4.367 - 4.100 = 0.267$ percentage points. Threshold is 0.50.^[?]
2. GDP drag rule of thumb: every sustained \$20/barrel increase in crude imposes approximately 0.3-0.5 percentage points of drag on annual GDP through higher input costs, transportation, and consumer energy expenditure. At a \$30/barrel increase (pre-conflict \$65 to \$94.65 WTI), the math implies 0.5-0.7pp drag. At \$106 Brent (roughly \$40 over the pre-conflict Brent equivalent), the range extends toward 0.7-0.9pp.^[?]
3. For context: the Biden-era drawdown, which critics called reckless, took the SPR to 350 million barrels. This release goes 107 million barrels below that floor.^[?]
4. US mine countermeasure capacity: Defense officials estimate the US has 3 dedicated mine countermeasure ships operational for the Hormuz theater. The Strait requires approximately 16 for comprehensive mine clearing operations. The gap is structural – mine countermeasure vessels are not surge-producible on a weeks-to-months timeline.^[?]